CITY COUNCIL AGENDA REPORT

TO: Honorable Mayor and Members of the City Council

FROM: Ryan McLean, City Manager

SUBJECT: Resolution for the Submission to the Voters for a Question Relating to the Transactions and Use Tax and Setting Priorities for Filing of Written Argument Regarding a City Council-Initiated Transactions and Use Tax Measure and Directing the City Attorney to Prepare an Impartial Analysis.

STRATEGIC GOAL: Responsible Stewardship of Public Resources

RECOMMENDATION:

Adopt Resolution No. 2026-28 for the submission to the voters a question relating to Transactions and Use Tax and setting priorities for filing of written argument regarding Council-initiated Transactions and Use Tax measure and directing the City Attorney to draft an impartial analysis.

FINANCIAL IMPACT:

The cost to consolidate the General Municipal Election and Transaction and Use Tax Measure is estimated at approximately $160,000 and is included in the adopted Fiscal Year 2026-27 Budget. A one-cent sales tax would generate an estimated $6 million in additional sales tax revenues annually, which could be used to fund key services and programs including public safety and wildfire/emergency preparedness, infrastructure maintenance, parks and recreation facilities, programs, and events, and other community priorities.

BACKGROUND:

The City is facing a significant structural deficit in which annual expenditures have and will continue to grow at a rate faster than revenues. The most recent ten-year forecast indicates an annual budget shortfall ranging from approximately $1 million to more than $9 million, a pace that will deplete the City's General Fund reserves by 2036. This forecast does not account for any potential economic downturn that might exacerbate this problem. Since identifying the forecasted structural deficit, the City Council has taken proactive action by directing staff to reduce spending by more than $1 million in each of the past two budget years while exploring new revenue opportunities.

In 2025, the City launched a comprehensive public outreach and engagement program to provide information about the deficit, understand resident priorities, and share potential collaborative solutions. As of July 2026, outreach has included 18 town hall-style presentations with the public and stakeholder groups, surveys, dedicated webpage materials, social media and video messages, e-newsletters, and print media. Resident feedback collected during this effort strongly supported the preservation of Diamond Bar's quality of

life, including, but not limited to public safety, wildfire preparedness, maintenance of community aesthetics, and community programming and events.

With the June 2026 passage of Measure ER for County general and health services, the current local sales tax rate is 10.25%. A complete breakdown of the current sales tax distribution is shown in the table below.

Agency	**Rate**
State of California	6.25%
City of Diamond Bar	1.00%
Proposition A (County Measure, Transportation)	0.50%
Proposition C (County Measure, Transportation)	0.50%
Measure R (County Measure, Transportation)	0.50%
Measure M (County Measure, Transportation)	0.50%
Measure A (County Measure, Homelessness)	0.50%
Measure ER (County Measure, General/Health Services)	0.50%
Total	**10.25%**

Of this total, the City receives 1%, with the revenues deposited in the General Fund for general services. The City also receives a share of revenues generated by County sales taxes, but these are controlled by the County, restricted in use, and the local return is a fraction of what Diamond Bar residents contribute on an annual basis. Measure A, collected to fund County homelessness services, includes no local return, meaning that the City must divert general fund revenues to provide homelessness services locally even though residents are paying for service elsewhere in the County.

Voters in many California cities, including many in the Southern California region, have approved local sales tax measures, keeping those revenues under local control. In Los Angeles County, voters in 59 of 88 incorporated cities have enacted local sales tax increases. San Gabriel Valley examples include:

Alhambra	Duarte	La Verne	Pomona
Arcadia	El Monte	Monrovia	San Gabriel

Azusa	Glendora	Montebello	Sierra Madre
Baldwin Park	La Canada Flintridge	Monterey Park	South El Monte
Covina	La Puente	Pasadena	South Pasadena

Until recently, the state capped the total combined sales and use tax rate at 10.75%. AB 1768, passed by the state legislature in 2026, recognizes the increase in rate established by Measure ER and effectively increases the combined state rate cap to 11.25%. With this adjustment, the City may consider a measure with an increase of up to one percent. It should also be noted that Measure ER will expire in 2032 unless an extension is approved by the voters.

ANALYSIS:

During the Fiscal Year 2025/26 budget development, adoption, and implementation process, the City Council directed staff to identify options to mitigate a forecasted structural deficit. These include opportunities to generate new revenues, optimize service delivery, and recover business costs. The placement of a one-percent sales tax measure on the November 3, 2026 ballot would generate approximately $6 million in new locally-controlled general fund revenues annually.

At the June 16, 2026 City Council meeting, the City Council adopted Resolution No. 2026-19 calling the General Municipal Election to be held on November 3, 2026 for the election of three (3) Members of the City Council, and requesting approval from the Board of Supervisors of the County of Los Angeles to consolidate the General Municipal Election with the Statewide General Election. To place a sales tax measure on the ballot along with the General Municipal Election, the City Council must take the following steps:

1. Adopt a resolution with two-thirds vote of the City Council submitting the measure to voters. The attached resolution (Attachment 1) adheres to the requirements set forth in the Elections Code for the November 3, 2026 General Municipal Election and includes the purpose of the election, the ballot measure text and ordinance, and the vote requirement for measure passage.
2. Include in the foregoing resolution the deadlines and priorities for filing written arguments regarding the measure establishing that written arguments in favor of and/or against the measure and the City Attorney's impartial analysis are due to the City Clerk on August 14, 2026 no later than 5:00 p.m., sets the order of priority for the selection of written arguments in the event the City Clerk receives more than one, and directs the City Attorney to draft an impartial analysis of the proposed measure.

As a general-purpose tax, the measure would pass with a simple majority (50% plus one) vote of the electorate. If passed by the voters, Chapter 3.14 would be added to Title 3 of the Diamond Bar City Code, establishing a local one-percent General Transactions and Use Tax and a complimentary one percent local use tax to be imposed on goods purchased in an outside jurisdiction but consumed and/or stored in Diamond Bar. New sales tax revenues may be appropriated for use at the City Council's discretion for essential services such as public safety, emergency preparedness, street maintenance, and other key City services.

LEGAL REVIEW:

This report and the attached resolutions have been reviewed and approved by the City Attorney.

PREPARED BY:

Ryan McLean, City Manager

ATTACHMENTS:

1. Resolution No. 2026-28
2. Exhibit A - Ordinance

RESOLUTION NO. 2026-28

A RESOLUTION OF THE CITY COUNCIL OF THE CITY OF DIAMOND BAR, CALIFORNIA, PROPOSING AND SUBMITTING TO THE VOTERS AT THE GENERAL MUNICIPAL ELECTION TO BE CONSOLIDATED WITH THE STATEWIDE ELECTION TO BE HELD ON NOVEMBER 3, 2026, AS CALLED BY RESOLUTION NO. 2026-19, A PROPOSAL TO ADOPT AN INITITAIVE ORDINANCE ESTABLISHING A ONE PERCENT TRANSACTIONS AND USE TAX; DIRECTING THE CITY ATTORNEY TO PREPARE AN IMPARTIAL ANALYSIS; AND AUTHORIZING AND SETTING DEADLINES FOR THE FILING OF ARGUMENTS FOR AND AGAINST THE BALLOT MEASURE.

WHEREAS, the City of Diamond Bar is committed to preserving the high quality of life that residents value, including maintaining public safety, neighborhood services, parks, recreation programs, and well-maintained public infrastructure; and

WHEREAS, the City of Diamond Bar has historically maintained prudent financial management practices, balanced budgets, and strong fiscal accountability while providing high-quality municipal services to residents and businesses; and

WHEREAS, despite these efforts, the City is facing increasing financial pressures as the cost of providing municipal services, including public safety, labor, insurance, utilities, maintenance, and contracted services, continues to rise faster than revenues; and

WHEREAS, the City's Fiscal Year 2026-27 budget reflects an ongoing structural budget deficit estimated at approximately $1 million, and financial projections indicate that annual deficits are expected to grow to approximately $5 million by 2030 and $12 million by 2035; and

WHEREAS, the City Council has taken fiscally responsible steps to address budget challenges, including approximately $1.6 million in service reductions for Fiscal Year 2026–27, implementing cost-containment measures, reducing operational and contract expenses, deferring capital projects, eliminating or reduced programs and events, and utilizing one-time funds to balance the budget; and

WHEREAS, while these actions have helped address short-term budget challenges, they do not provide a sustainable long-term solution to the City's ongoing structural deficit; and

WHEREAS, the City's General Fund reserves are approximately $29.9 million and projections indicate reserves will be drawn down over time and may be depleted within seven to eight years; and

WHEREAS, continued structural deficits may also require the City to defer needed maintenance and capital improvements totaling more than $100 million, resulting in higher costs in the future and impacting the City's ability to maintain streets, parks, public facilities, and other community assets; and

WHEREAS, the State of California and County of Los Angeles allocation of the transactions and use tax (sales tax) generated within Diamond Bar limit the City's ability to fund local needs: (i) the City retains only a portion of sales tax generated locally, meaning the current total sales tax rate in the City is 9.75%, and only 1 % of the total rate is under local control; and (ii) The City receives one of the smallest shares of property tax revenue in Los Angeles County, just 5%, ranking 87th out of 88 cities; and

WHEREAS, the City Council has undertaken a comprehensive review of potential revenue options and determined that a locally controlled transactions and use tax would provide a stable and reliable source of ongoing revenue to help maintain essential City services; and

WHEREAS, revenues generated by a voter-approved transactions and use tax measure would be available to support essential City services and community priorities, including maintaining neighborhood public safety services to keep Diamond Bar neighborhoods safe, preventing property crimes and burglaries, keeping public areas clean and safe, repairing and maintaining streets and infrastructure, preserving parks and recreation programs, maintaining emergency preparedness efforts and minimizing the risk of wildfire, and protecting Diamond Bar's quality of life; and

WHEREAS, a transactions and use tax does not apply to common necessities such as groceries, prescription medicines, rent, utilities, medical and dental services, or personal services; and

WHEREAS, visitors and non-residents who shop, dine, and conduct business in Diamond Bar would also contribute towards maintaining City services through a locally approved transactions and use tax measure; and

WHEREAS, the City Council finds that stable, locally controlled revenue is necessary to preserve Diamond Bar's quality of life, maintain essential services, and protect the community's long-term financial stability; and

WHEREAS, state law limits the total combined rate of local transactions and use taxes that may be imposed within Los Angeles County, and the City Council finds that preserving Diamond Bar's remaining local revenue capacity is important to maintaining the City's long-term financial flexibility and local control; and

WHEREAS, in such an event, Diamond Bar residents could still pay a higher sales tax rate, but the additional revenues generated would not necessarily remain in Diamond Bar or be available to address local community priorities; and

WHEREAS, the City Council finds that preserving local control is important because locally generated revenues are subject to oversight by Diamond Bar voters and can be used to address the City's unique service needs and community priorities; and

WHEREAS, revenues generated by the proposed transactions and use tax measure will be deposited into the City's General Fund, subject to annual independent financial audits, public disclosure requirements, and other applicable fiscal accountability measures required by law; and

WHEREAS, the City Council is committed to ensuring that all revenues generated by the proposed measure are managed in a transparent and fiscally responsible manner consistent with the City's longstanding tradition of sound financial stewardship; and

WHEREAS, pursuant to Resolution No. 2026-19, the City Council called a General Municipal Election to be held in the City of Diamond Bar, California on November 3, 2026, for the election of three (3) Members of the City Council for full four (4) year terms; and

WHEREAS, pursuant to Resolution No. 2026-20, adopted on June 16, 2026, the City Council requested that the General Municipal Election for election of Members of the City Council be consolidated with the Statewide General Election to be held on Tuesday, November 3, 2026; and

WHEREAS, the City Council desires to submit to the voters at the same General Municipal Election a question relating to the Transaction and Use Tax.

NOW, THEREFORE, THE CITY COUNCIL OF THE CITY OF DIAMOND BAR, DOES RESOLVE, DECLARE, DETERMINE AND ORDER AS FOLLOWS:

Section 1. Pursuant to the laws of the State of California relating to General Law Cities, the City Council of the City of Diamond Bar hereby calls and orders to be held in the City of Diamond Bar, California, on Tuesday, November 3, 2026, a General Municipal Election for the purpose of submitting to the registered voters of the City of Diamond Bar the following ballot measure for their adoption or rejection:

Measure ___: Diamond Bar Local Control, City Services Measure.

To maintain local funding for emergency response/Sheriff protection; keep Diamond Bar's neighborhoods/public areas safe/clean; prevent property crimes/burglaries; minimize the risk of wildfires; prepare for/respond to wildfires/other natural disasters; maintain roads/prevent potholes; for other general city services; shall a measure be adopted establishing a 1¢ sales tax, providing approximately $6,000,000 annually	Yes
	No

until ended by voters, requiring audits/spending disclosure, all funds benefiting Diamond Bar residents?	

Section 2. That the vote requirement for the Measure to be adopted is 50%+1 of the votes cast and if adopted the Measure shall go into effect at the time set forth in the Measure.

Section 3. That the complete text of the proposed Ordinance for the ballot measure submitted to the City's voters is set forth in full in Exhibit A, attached and incorporated by this reference.

Section 4. That the ballots to be used at the election shall be in form and content as required by law.

Section 5. That the City Clerk is authorized, instructed and directed to coordinate with the County of Los Angeles Registrar-Recorder/County Clerk to procure and furnish any and all official ballots, notices printed matter and all supplies, equipment and paraphernalia that may be necessary in order to properly and lawfully conduct the election.

Section 6. That the polls for the election shall be open at seven o'clock a.m. of the day of the election and shall remain open continuously from that time until eight o'clock p.m. of the same day when the polls shall be closed, pursuant to Election Code §10242, except as provided §14401 of the Elections Code of the State of California.

Section 7. That in all particulars not recited in this resolution, the election shall be held and conducted as provided by law for holding municipal elections.

Section 8. That notice of the time and place of holding the election is given and the City Clerk is authorized, instructed and directed to give further or additional notice for the election, in time, form and manner as required by law.

Section 9. The City Council hereby authorizes, instructs, and directs the City Attorney to prepare an impartial analysis of the ballot measure, in accordance with the provisions of the Elections Code § 9280, showing the effect of the measure on existing law and the operation of the measure. The impartial analysis, not exceeding 500 words in length, shall be filed with the City Clerk on or before August 14, 2026.

Section 10. Pursuant to Elections Code § 9282, the City Council, or any member or members of the City Council, or any individual voter who is eligible to vote on the measure, or bona fide association of citizens, or any combination of voters and associations, may file a written argument for or against the measure. Pursuant to Elections Code § 9283, any argument filed by the City Council, or any member or members of the City Council, shall be accompanied by the printed name(s) and signature(s) of the author(s) submitting it, or if submitted on behalf of an organization, the

name of the organization and the printed name and signature of at least one of its principal officers who is the author of the argument. The argument may not be signed by more than five persons, otherwise the signatures of the first five shall be printed on the sample ballot. Any direct argument shall be accompanied by a signed Form of Statement and in accordance with guidelines for filing of arguments which are available in the Office of the City Clerk. Direct arguments shall be filed with the City Clerk on or before August 14, 2026, and shall be subject to a 10 calendar-day public examination period in accordance with the provisions of Elections Code section 9295.

Section 11. Pursuant to Elections Code sections 9282 and 9285, when the City Clerk has selected the arguments for and against the measure which will be printed and distributed to the voters, the City Clerk shall send a copy of the argument in favor of the measure to the authors of the argument against, and a copy of the argument against the measure to the authors of the argument in favor. The author or a majority of the authors of an argument may prepare and submit a rebuttal argument or may authorize in writing any other person or persons to prepare, submit, or sign the rebuttal argument. A rebuttal argument shall be filed with the City Clerk with the printed name(s) and signature(s) of the author(s) submitting it, or if submitted on behalf of an organization, the name of the organization, and the printed name and signature of at least one of its principal officers. A rebuttal argument may not be signed by more than five persons and shall be printed in the same manner as a direct argument and shall immediately follow the direct argument which it seeks to rebut. Rebuttal arguments for or against the measure, not exceeding 250 words in length, shall be filed with the City Clerk on or before August 24, 2026. Any rebuttal argument shall be accompanied by a signed Form of Statement and in accordance with guidelines for the filing of arguments which are available in the Office of the City Clerk. Rebuttal arguments shall be subject to a 10-calendar-day public examination period in accordance with the provisions of Elections Code section 9295.

Section 12. If more than one argument for or more than one argument against the ballot measure is submitted, the City Clerk shall select one of the arguments in favor and one of the arguments against the measure for printing and distribution to the voters. In selecting the argument, the City Clerk shall give preference and priority to the submitted arguments in accordance with the provisions of Elections Code section 9287.

Section 13. That pursuant to the requirements of § 10403 of the Elections Code, the Board of Supervisors of the County of Los Angeles is hereby requested to consent and agree to the consolidation of the General Municipal Election with the Statewide General Election on Tuesday, November 3, 2026, as requested by and subject to Diamond Bar City Council Resolution No. 2026-20.

Section 14. That the City Clerk shall certify to the passage and adoption of this Resolution and enter it into the book of original resolutions.

Section 15. The City Council authorizes the City Clerk to administer said election and all reasonable and actual election expenses shall be paid by the city upon presentation of a properly submitted bill.

PASSED, APPROVED AND ADOPTED this 21st day of July, 2026.

CITY OF DIAMOND BAR

_____
Steve Tye, Mayor

ATTEST:

I, Kristina Santana, City Clerk for the City of Diamond Bar, hereby certify that the foregoing resolution, was duly passed, approved and adopted by the City Council of the City of Diamond Bar at a regular meeting held on the 21st day of July, 2026, by the following vote:

AYES:	COUNCIL MEMBERS:
NOES:	COUNCIL MEMBERS:
ABSENT:	COUNCIL MEMBERS:
ABSTAIN:	COUNCIL MEMBERS:

_____
Kristina Santana, City Clerk

ORDINANCE NO. ___ (2026)

AN INITIATIVE ORDINANCE OF THE PEOPLE OF THE CITY OF DIAMOND BAR, CALIFORNIA, ADDING CHAPTER 3.14 TO TITLE 3 OF THE DIAMOND BAR CITY CODE TO ESTABLISH A LOCAL ONE PERCENT GENERAL TRANSACTIONS AND USE TAX.

WHEREAS, the City of Diamond Bar is committed to preserving the high quality of life that residents value, including maintaining public safety, neighborhood services, parks, recreation programs, and well-maintained public infrastructure; and

WHEREAS, the City of Diamond Bar has historically maintained prudent financial management practices, balanced budgets, and strong fiscal accountability while providing high-quality municipal services to residents and businesses; and

WHEREAS, despite these efforts, the City is facing increasing financial pressures as the cost of providing municipal services, including public safety, labor, insurance, utilities, maintenance, and contracted services, continues to rise faster than revenues; and

WHEREAS, the City's Fiscal Year 2026-27 budget reflects an ongoing structural budget deficit estimated at approximately $1 million, and financial projections indicate that annual deficits are expected to grow to approximately $5 million by 2030 and $12 million by 2035; and

WHEREAS, the City Council has taken fiscally responsible steps to address budget challenges, including approximately $1.6 million in service reductions for Fiscal Year 2026–27, implementing cost-containment measures, reducing operational and contract expenses, deferring capital projects, eliminating or reduced programs and events, and utilizing one-time funds to balance the budget; and

WHEREAS, while these actions have helped address short-term budget challenges, they do not provide a sustainable long-term solution to the City's ongoing structural deficit; and

WHEREAS, the City's General Fund reserves are approximately $29.9 million and projections indicate reserves will be drawn down over time and may be depleted within seven to eight years; and

WHEREAS, continued structural deficits may also require the City to defer needed maintenance and capital improvements totaling more than $100 million, resulting in higher costs in the future and impacting the City's ability to maintain streets, parks, public facilities, and other community assets; and

WHEREAS, the State of California and County of Los Angeles allocation of the transactions and use tax (sales tax) generated within Diamond Bar limit the City's ability

to fund local needs: (i) the City retains only a portion of sales tax generated locally, meaning the current total sales tax rate in the City is 9.75%, and only 1 % of the total rate is under local control; and (ii) The City receives one of the smallest shares of property tax revenue in Los Angeles County, just 5%, ranking 87th out of 88 cities; and

WHEREAS, the City Council has undertaken a comprehensive review of potential revenue options and determined that a locally controlled transactions and use tax would provide a stable and reliable source of ongoing revenue to help maintain essential City services; and

WHEREAS, revenues generated by a voter-approved transactions and use tax measure would be available to support essential City services and community priorities, including maintaining neighborhood public safety services to keep Diamond Bar neighborhoods safe, preventing property crimes and burglaries, keeping public areas clean and safe, repairing and maintaining streets and infrastructure, preserving parks and recreation programs, maintaining emergency preparedness efforts and minimizing the risk of wildfire, and protecting Diamond Bar's quality of life; and

WHEREAS, a transactions and use tax does not apply to common necessities such as groceries, prescription medicines, rent, utilities, medical and dental services, or personal services; and

WHEREAS, visitors and non-residents who shop, dine, and conduct business in Diamond Bar would also contribute towards maintaining City services through a locally approved transactions and use tax measure; and

WHEREAS, the City Council finds that stable, locally controlled revenue is necessary to preserve Diamond Bar's quality of life, maintain essential services, and protect the community's long-term financial stability; and

WHEREAS, state law limits the total combined rate of local transactions and use taxes that may be imposed within Los Angeles County, and the City Council finds that preserving Diamond Bar's remaining local revenue capacity is important to maintaining the City's long-term financial flexibility and local control; and

WHEREAS, in such an event, Diamond Bar residents could still pay a higher sales tax rate, but the additional revenues generated would not necessarily remain in Diamond Bar or be available to address local community priorities; and

WHEREAS, the City Council finds that preserving local control is important because locally generated revenues are subject to oversight by Diamond Bar voters and can be used to address the City's unique service needs and community priorities; and

WHEREAS, revenues generated by the proposed transactions and use tax measure will be deposited into the City's General Fund, subject to annual independent

financial audits, public disclosure requirements, and other applicable fiscal accountability measures required by law; and

WHEREAS, the City Council is committed to ensuring that all revenues generated by the proposed measure are managed in a transparent and fiscally responsible manner consistent with the City's longstanding tradition of sound financial stewardship; and

WHEREAS, a measure to increase the transactions and use tax was put before the voters at a general municipal election held on November 3, 2026; and

WHEREAS, the measure received the requisite votes for adoption.

NOW, THEREFORE, the people of the City of Diamond Bar do ordain as follows:

SECTION I: Chapter 3.14 entitled “Local Transactions and Use Tax”, is hereby added to the Diamond Bar Municipal Code to provide as follows:

“Chapter 3.14

TRANSACTIONS AND USE TAX

Sec. 3.14.010. – Short title.

This chapter shall be known as the Local Transactions and Use Tax.

Sec. 3.14.020 – Purpose.

The City Council hereby declares that this chapter is adopted to achieve the following, among other purposes, and directs that the provisions of this chapter be interpreted in order to accomplish those purposes:

(a) To impose a retail transactions and use tax in accordance with the provisions of Part 1.6 (commencing with Section 7251) of Division 2 of the Cal. Revenue and Taxation Code and Section 7285.9 of Part 1.7 of Division 2, which authorizes the City to adopt this chapter which shall be operative if a majority of the electors voting on the measure vote to approve the imposition of the tax at an election called for that purpose.

(b) To adopt a retail transactions and use tax ordinance that incorporates provisions identical to those of the Sales and Use Tax Law of the State of California insofar as those provisions are not inconsistent with the requirements and limitations contained in Part 1.6 of Division 2 of the Cal. Revenue and Taxation Code.

(c) To adopt a retail transactions and use tax ordinance that imposes a tax and provides a measure therefore that can be administered and collected by the

California Department of Tax and Fee Administration in a manner that adapts itself as fully as practicable to, and requires the least possible deviation from, the existing statutory and administrative procedures followed by the California Department of Tax and Fee Administration in administering and collecting the California State Sales and Use Taxes.

(d) To adopt a retail transactions and use tax ordinance that can be administered in a manner that will be, to the greatest degree possible, consistent with the provisions of Part 1.6 of Division 2 of the Cal. Revenue and Taxation Code, minimize the cost of collecting the transactions and use taxes, and at the same time, minimize the burden of record keeping upon persons subject to taxation under the provisions of this chapter.

Sec. 3.14.030 – Transactions tax rate.

For the privilege of selling tangible personal property at retail, a tax is hereby imposed upon all retailers in the incorporated territory of the City at the rate of one percent (1%) of the gross receipts of any retailer from the sale of all tangible personal property sold at retail in said territory on and after the operative date of the ordinance enacting this chapter.

Sec. 3.14.040 – Use tax rate.

An excise tax is hereby imposed on the storage, use or other consumption in the City of tangible personal property purchased from any retailer on and after the operative date of the ordinance enacting this chapter for storage, use or other consumption in said territory at the rate of one percent (1%) of the sales price of the property. The sales price shall include delivery charges when such charges are subject to state sales or use tax regardless of the place to which delivery is made.

Sec. 3.14.050 – Contract with State.

Prior to the operative date, the City shall contract with the California Department of Tax and Fee Administration to perform all functions incident to the administration and operation of the transactions and use tax ordinance enacting this chapter; provided, that if the City shall not have contracted with the California Department of Tax and Fee Administration prior to the operative date, it shall nevertheless so contract and in such a case the operative date shall be the first day of the first calendar quarter following the execution of such a contract.

Sec. 3.14.060 – Place of sale.

For the purposes of this chapter, all retail sales are consummated at the place of business of the retailer unless the tangible personal property sold is delivered by the retailer or his agent to an out-of-state destination or to a common carrier for delivery

to an out-of-state destination. The gross receipts from such sales shall include delivery charges, when such charges are subject to the State sales and use tax, regardless of the place to which delivery is made. In the event a retailer has no permanent place of business in the State or has more than one place of business, the place or places at which the retail sales are consummated shall be determined under rules and regulations to be prescribed and adopted by the California Department of Tax and Fee Administration.

Sec. 3.14.070 – Adoption of provisions of State law.

Except as otherwise provided in this chapter and except insofar as they are inconsistent with the provisions of Part 1.6 of Division 2 of the Cal. Revenue and Taxation Code, all of the provisions of Part 1 (commencing with Section 6001) of Division 2 of the Cal. Revenue and Taxation Code are hereby adopted and made a part of this chapter as though fully set forth in this section.

Sec. 3.14.080 – Limitations on adoption of State law.

In adopting the provisions of Part 1 of Division 2 of the Cal. Revenue and Taxation Code:

(a) Wherever the State of California is named or referred to as the taxing agency, the name of this City shall be substituted therefor. The substitution, however, shall not be made when:

(1) The word "State" is used as a part of the title of the State controller, State treasurer, State board of control, State board of equalization, State treasury, State victim compensation and government claims board, or the State Constitution;

(2) When the result of that substitution would require action to be taken by or against this City or any agency, officer, or employee thereof rather than by or against the Department of Tax and Fee Administration, in performing the functions incident to the administration or operation of this chapter;

(3) In those sections, including, but not necessarily limited to sections referring to the exterior boundaries of the state, where the result of the substitution would be to:

(i) provide an exemption from this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not otherwise be exempt from this tax while such sales, storage, use or other consumption remain subject to tax by the State under the provisions of Part 1 of Division 2 of the Cal. Revenue and Taxation Code, or;

(ii) impose this tax with respect to certain sales, storage, use or other consumption of tangible personal property which would not be subject to tax by the State under the said provision of that code.

(4) In Sections 6701, 6702 (except in the last sentence thereof), 6711, 6715, 6737, 6797 or 6828 of the Cal. Revenue and Taxation Code.

(b) The word "City" shall be substituted for the word "State" in the phrase "retailer engaged in business in this State" in § 6203 of the Cal. Revenue and Taxation Code and in the definition of that phrase in Section 6203.

Sec. 3.14.090 – Permit not required.

If a seller's permit has been issued to a retailer under Section 6067 of the Cal. Revenue and Taxation Code, an additional seller's permit shall not be required by this chapter.

Sec. 3.14.100 – Exclusions and exemptions.

(a) There shall be excluded from the measure of the transactions tax and the use tax the amount of any sales tax or use tax imposed by the State or by any city, city and county, or county pursuant to the Bradley-Burns Uniform Local Sales and Use Tax Law or the amount of any state-administered transactions or use tax.

(b) There are exempted from the computation of the amount of transactions tax the gross receipts from:

(1) Sales of tangible personal property, other than fuel or petroleum products, to operators of aircraft to be used or consumed principally outside the county in which the sale is made and directly and exclusively in the use of such aircraft as common carriers of persons or property under the authority of the laws of this State, the United States, or any foreign government.

(2) Sales of property to be used outside the City which is shipped to a point outside the City, pursuant to the contract of sale, by delivery to such point by the retailer or his agent, or by delivery by the retailer to a carrier for shipment to a consignee at such point. For the purposes of this section, delivery to a point outside the City shall be satisfied:

(i) With respect to vehicles (other than commercial vehicles) subject to registration pursuant to Chapter 1 (commencing with § 4000) of Division 3 of the Cal. Vehicle Code, aircraft licensed in compliance with § 21411 of the Public Utilities Code, and undocumented vessels registered under Division 3.5 (commencing with § 9840) of the Cal. Vehicle Code by registration to an out-of-City address and by a declaration under penalty of perjury, signed by the buyer, stating that such address is, in fact, his or her principal place of residence; and

(ii) With respect to commercial vehicles, by registration to a place of business out-of-City and declaration under penalty of perjury, signed by the buyer, that the vehicle will be operated from that address.

(3) The sale of tangible personal property if the seller is obligated to furnish the property for a fixed price pursuant to a contract entered into prior to the operative date of the ordinance enacting this chapter.

(4) A lease of tangible personal property which is a continuing sale of such property, for any period of time for which the lessor is obligated to lease the property for an amount fixed by the lease prior to the operative date of the ordinance enacting this chapter.

(5) For the purposes of paragraphs (b)(3) and (4) of this section, the sale or lease of tangible personal property shall be deemed not to be obligated pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

(c) There are exempted from the use tax imposed by this ordinance, the storage, use or other consumption in this City of tangible personal property:

(1) The gross receipts from the sale of which have been subject to a transactions tax under any state-administered transactions and use tax ordinance.

(2) Other than fuel or petroleum products purchased by operators of aircraft and used or consumed by such operators directly and exclusively in the use of such aircraft as common carriers of persons or property for hire or compensation under a certificate of public convenience and necessity issued pursuant to the laws of this State, the United States, or any foreign government. This exemption is in addition to the exemptions provided in Sections 6366 and 6366.1 of the Cal. Revenue and Taxation Code.

(3) If the purchaser is obligated to purchase the property for a fixed price pursuant to a contract entered into prior to the operative date of the ordinance enacting this chapter.

(4) If the possession of, or the exercise of any right or power over, the tangible personal property arises under a lease which is a continuing purchase of such property for any period of time for which the lessee is obligated to lease the property for an amount fixed by a lease prior to the operative date of the ordinance enacting this chapter.

(5) For the purposes of paragraphs (c)(3) and (4) of this section, storage, use, or other consumption, or possession of, or exercise of any right or power over, tangible personal property shall be deemed not to be obligated

pursuant to a contract or lease for any period of time for which any party to the contract or lease has the unconditional right to terminate the contract or lease upon notice, whether or not such right is exercised.

(6) Except as provided in paragraph (c)(7), a retailer engaged in business in the City shall not be required to collect use tax from the purchaser of tangible personal property, unless the retailer ships or delivers the property into the City or participates within the City in making the sale of the property, including, but not limited to, soliciting or receiving the order, either directly or indirectly, at a place of business of the retailer in the City or through any representative, agent, canvasser, solicitor, subsidiary, or person in the City under the authority of the retailer.

(7) "A retailer engaged in business in the City" shall also include any retailer of any of the following: vehicles subject to registration pursuant to Chapter 1 (commencing with § 4000) of Division 3 of the Cal. Vehicle Code, aircraft licensed in compliance with § 21411 of the Cal. Public Utilities Code, or undocumented vessels registered under Division 3.5 (commencing with § 9840) of the Cal. Vehicle Code. That retailer shall be required to collect use tax from any purchaser who registers or licenses the vehicle, vessel, or aircraft at an address in the City.

(d) Any person subject to use tax under this chapter may credit against that tax any transactions tax or reimbursement for transactions tax paid to a district imposing, or retailer liable for a transactions tax pursuant to Part 1.6 of Division 2 of the Cal. Revenue and Taxation Code with respect to the sale to the person of the property the storage, use or other consumption of which is subject to the use tax.

Sec. 3.14.110 – Amendments.

All amendments subsequent to the effective date of this chapter to Part 1 of Division 2 of the Cal. Revenue and Taxation Code relating to sales and use taxes and which are not inconsistent with Part 1.6 and Part 1.7 of Division 2 of the Cal. Revenue and Taxation Code, and all amendments to Part 1.6 and Part 1.7 of Division 2 of the Cal. Revenue and Taxation Code, shall automatically become a part of this chapter, provided however, that no such amendment shall operate so as to affect the rate of tax imposed by this chapter.

Sec. 3.14.120 – Enjoining collection forbidden.

No injunction or writ of mandate or other legal or equitable process shall issue in any suit, action or proceeding in any court against the State or the City, or against any officer of the State or the City, to prevent or enjoin the collection under this chapter, or Part 1.6 of Division 2 of the Cal. Revenue and Taxation Code, of any tax or any amount of tax required to be collected.

Sec. 3.14.130 – Severability.

If the provision of this Chapter or any application thereof to any person or circumstance is held invalid, such invalid provision or application thereof shall not affect the other provisions and applications set forth this chapter.

Sec. 3.14.130 – Annual Audit.

By no later than October 1 of each calendar year, the City shall cause an independent auditor to complete a "Diamond Bar Transactions and Use Tax Report." Such report shall review whether the tax revenues collected pursuant to this chapter in the immediately preceding fiscal year have been collected, managed and expended in accordance with the requirements of this chapter.

Sec. 3.14.140 – Operative date.

This chapter shall be operative the first day of the first calendar quarter commencing more than 110 days after the effective date of the ordinance enacting this chapter, the effective date being as set forth below.

SECTION II: The Mayor and City Clerk are hereby authorized to attest to the adoption of this Ordinance by signing where indicated below. This Ordinance shall take effect ten (10) days following certification of the vote by the City Council.

PASSED, APPROVED AND ADOPTED by the People of the City of Diamond Bar voting on November 3, 2026.

ATTEST:

_____
Steve Tye, Mayor

Approved as to Form:

_____
Kristina Santana
City Clerk

_____
Omar Sandoval
City Attorney